

Valuation Report and Conclusion

The intrinsic value of Asian Paints Limited was estimated using the Free Cash Flow to Firm (FCFF) valuation approach. This method determines the value of the company by forecasting future free cash flows available to all providers of capital and discounting those cash flows to their present value using the Weighted Average Cost of Capital (WACC).

The valuation model was developed using historical financial information and projected financial statements. Revenue, operating expenses, capital expenditure, depreciation, working capital requirements, taxation, and financing assumptions were forecast based on historical trends and reasonable business expectations.

Based on the assumptions adopted in this model, the estimated intrinsic value per share is approximately **₹418.42**, whereas the company's market price at the valuation date is approximately **₹2,649.40** per share. This indicates that the market price is substantially higher than the intrinsic value estimated by the FCFF model.

This result suggests that, under the assumptions used, the shares appear to be significantly overvalued. However, this conclusion should not be interpreted as evidence that the market price is incorrect. Market prices often reflect factors that extend beyond the cash flow assumptions incorporated into a discounted cash flow model, including investor sentiment, expected long-term growth opportunities, competitive advantages, brand strength, pricing power, strategic initiatives, and valuation premiums assigned to high-quality businesses.

Asian Paints has historically traded at premium valuation multiples relative to its peers because of its strong brand equity, extensive distribution network, consistent profitability, high return on capital employed, and market leadership. These qualitative factors may justify a market valuation that exceeds the value derived from a conservative FCFF model.

The valuation is highly sensitive to changes in key assumptions. Small variations in the discount rate (WACC), terminal growth rate, operating margins, capital expenditure, or working capital requirements can significantly alter the estimated intrinsic value. Therefore, the valuation should be interpreted as an estimate based on the stated assumptions rather than an exact prediction of future market prices.

Overall, the FCFF valuation provides a disciplined estimate of the company's intrinsic value based on its expected ability to generate future cash flows. The analysis indicates that the current market price reflects growth expectations and valuation premiums that are more optimistic than those embedded in the assumptions used in this financial model.